

The Strait Was Counted Twice

Two authoritative sources gave incompatible readings of the same day at Hormuz, and the tape chose the calmer one.

THE READING

The S&P 500 closed Wednesday at 7,666.60, up 0.46 per cent. The Dow added 295 points to 53,061.95, the Nasdaq 0.45 per cent to 26,217.83. The ten-year yield touched 4.818 per cent intraday, its highest since November 2023, and then stopped climbing. That pause, not any piece of company news, was what equities bought. Brent held near \$95 and WTI near \$90. The VIX finished at 16.34, a hundredth of a point above Tuesday and still above the 16.28 ceiling it broke on Monday.

Underneath, the two accounts of the Strait of Hormuz did not agree. The US Energy Secretary said more than 17 million barrels transited by ship on Monday, a record since the war began in February. Kpler, the ship-tracking service, counted five vessels crossing that day and described traffic as sharply lower.

WHAT WISDOM WOULD SAY

Charlie Munger's first rule of analysis was to look at incentives before looking at anything else: show me the incentive and I will show you the outcome. He treated incentive-caused bias not as dishonesty but as something closer to gravity, a force acting on people who believe themselves to be simply reporting.

Applied here, without accusing anyone. A cabinet secretary describing an open shipping lane is describing the working of a policy he belongs to; that is the frame the data reaches him through, whether or not he chose it. A commercial tracker sells the fact that its count differs from the official one. Its product is the discrepancy. Neither incentive makes a number false. Both make it worth asking what the number was gathered to show.

Note also that these are not the same measurement. Barrels moved is not hulls counted, and a record volume is compatible with very few ships if the ships are large or the counting windows differ. The disagreement may be entirely definitional. That possibility does not settle it. It leaves the honest position: nobody reading from here knows how open the strait is.

THE RISK IT JUSTIFIES

Little, and that is the practical content. Wednesday's gain rested on a yield that stopped rising, not on a chokepoint that reopened. Exposure sized to that close is sized to the calmer of two readings that cannot both be the whole picture.

So: treat crude near \$90 as unresolved rather than topped, and decline to write volatility against a 16 handle on the assumption Hormuz is fine. Do not add index risk on one day's pause in the ten-year. Where energy has run, take the move as a windfall and cut the size rather than raise the target.

What would change the answer is a third count from a party with no stake in either direction. War-risk insurance and charter rates on Gulf transit are set by people who lose money for being wrong about the strait; several sessions of movement in one direction there would settle more than either statement did.

Which of the two numbers did you want to be true before you read either?